

Document 6: Mass Market Segment Retention Strategy

Understanding mass segment churn drivers

Mass segment customers, typically characterised by lower salary bands and more modest balances, churn for different reasons than affluent customers and respond to different interventions. Price sensitivity plays a much larger role in this segment, with fee structures, minimum balance requirements, and interest rates on basic accounts being far more influential on retention decisions than relationship depth or personalised service, which matters comparatively more to higher income segments.

Cost-effective retention at scale

Because individual account value is lower in this segment, retention strategy must prioritise scalable, lower-cost interventions over the high-touch personal approach used with affluent customers. Automated but well-timed proactive communication, such as a message acknowledging a fee that was charged and explaining how to avoid it in future, performs disproportionately well in this segment relative to its low cost. Digital self-service tools that allow customers to resolve common issues, such as fee disputes or simple product changes, without needing to call or visit a branch, reduce friction that disproportionately drives mass segment churn given this segment's higher sensitivity to time cost and inconvenience.

Financial inclusion considerations

A meaningful proportion of mass segment churn in the South African context is linked to broader financial inclusion dynamics rather than dissatisfaction with the bank specifically, including informal sector income variability making fixed minimum balance or fee requirements difficult to sustain. Offering flexible, low-fee account tiers explicitly designed for variable income customers, rather than applying standard fee structures uniformly across all segments, materially improves retention in this population.

Recommended action sequence for at-risk mass segment customers

Step one is identifying whether the at-risk signal is primarily price-driven or service-driven, since the two require entirely different responses and mass segment customers are less likely than affluent customers to articulate this distinction unprompted. Step two, for price-driven risk, is presenting the most appropriate account tier for the customer's actual usage pattern, since many mass segment customers remain on a tier that no longer matches their needs and a tier downgrade can paradoxically improve both satisfaction and retention by reducing fee burden. Step three, for service-driven risk, is resolving the specific friction point, commonly queue times, ATM availability, or app usability issues, since these operational factors disproportionately drive mass segment dissatisfaction relative to relationship quality factors that matter more to other segments.

Cross-sell in this segment

Cross-sell to mass segment customers should focus on products with clear, immediate utility rather than long-term wealth building, such as basic insurance products, funeral cover, or short-term credit facilities, since these align more closely with the segment's expressed financial priorities than investment products that are more relevant to affluent customers.